Dr.Abeer-Public Finance2(Part1) - Quiz2

13 / 13 Questions Completed

You achieved 15 out of 15 marks.

Your score for this quiz will be recorded and count towards your overall mark

100%
SCORED

You have completed this quiz.
Would you like to review your answers?

Dr.Abeer-Public Finance2(Part1) - Quiz2

1

When demand is perfectly inelastic, the producer gains all the benefit from the subsidy

True	False

2

If the supply curve is inelastic, as in developing countries, the government consumption spending can act as expansionary fiscal policy

True	False

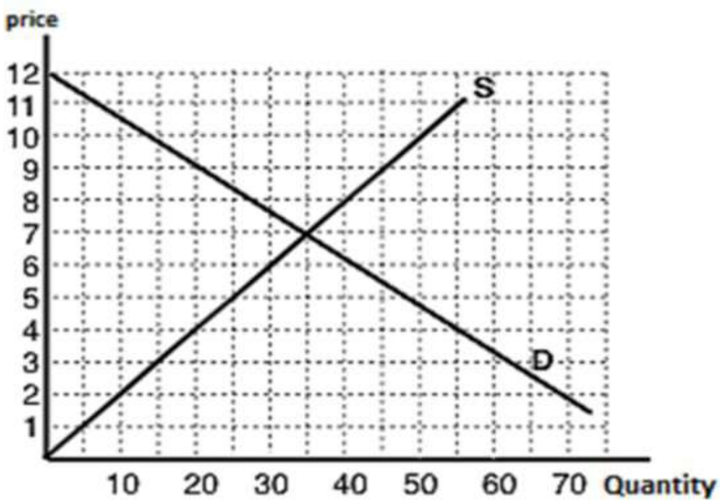
3

The more elasticity of supply, the less benefit of Production subsidy to consumer

True	False

Dr.Abeer-Public Finance2(Part1) - Quiz2

- Consider the supply and demand diagram below. If subsidy is introduced to producer= 1 LE per unit



After subsidy, the equilibrium quantity =...........

A 40 units.

B 45 units.

C 50 units.

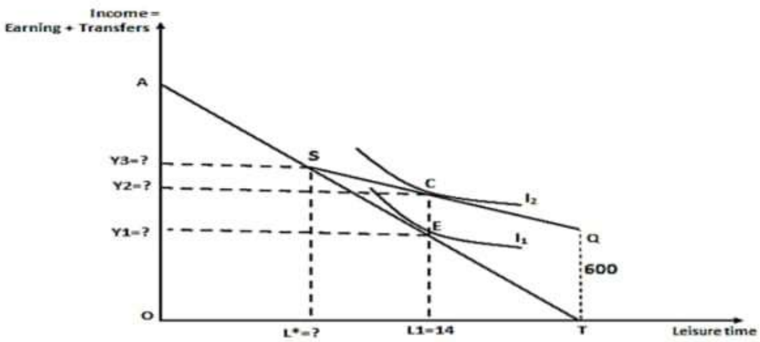
Dr.Abeer-Public Finance2(Part1) - Quiz2

From studying Production subsidy, suppose a commodity is produced in a competitive market, and its marginal cost is increasing, the government decides to give the producer a unit subsidy. When demand is perfectly inelastic, the benefit of subsidy is distributed =....

- A Mainly to consumer
- B Mainly to producer
- C Completely to consumer
- D Completely to producer
- E Split evenly between the producer and consumer.

Next Question

decided to apply unemployment grant with a basic amount (G) equal 600$ per month and the grant is reduced by 20% for each additional dollar earned. Use the previous information and the following Graph in answering the following**:**



EC=

A Zero

B 100

C 200

Dr.Abeer-Public Finance2(Part1) - Quiz2

From studying Production subsidy, suppose a commodity is produced in a competitive market, and its marginal cost is increasing, the government decides to give the producer a unit subsidy. When demand is perfectly elastic, the benefit of subsidy is distributed =....

A Mainly to consumer

B Mainly to producer

C Completely to consumer

D Completely to producer

E Split evenly between the producer and consumer.

Next Question

Dr.Abeer-Public Finance2(Part1) - Quiz2

From studying the (TANF) program :

A o The benefit reduction decreases as income increases.

B o The Benefit received increases as income increases.

C o The lower Grant reduction rate, the breakeven level of earnings increases.

D o All is correct

Next Question

Dr.Abeer-Public Finance2(Part1) - Quiz2

Public expenditure must be productive, efficient, and avoidance of wastages in public spending. this sentence is the definition of :

A Canon of Benefit.

B Canon of Economy.

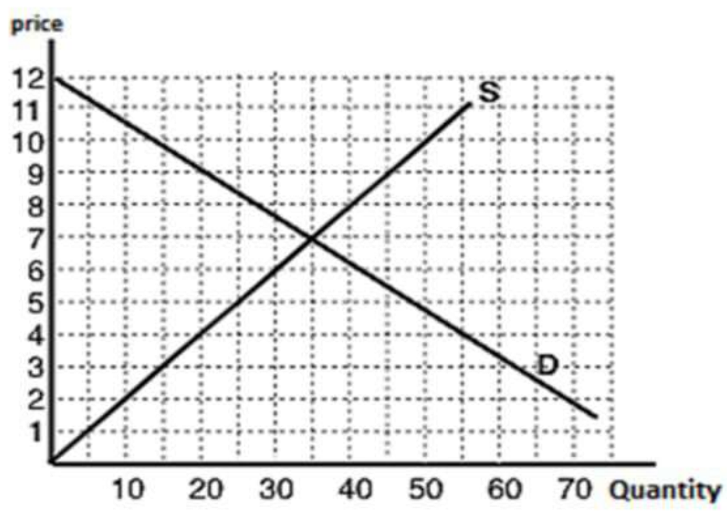
C Canon of Productivity.

D Canon of elasticity.

Next Question

Dr.Abeer-Public Finance2(Part1) - Quiz2

- Consider the supply and demand diagram below. If subsidy is introduced to producer= 1 LE per unit



After subsidy, The price that consumers pay will =.....

A 6

B 7

C 8

Dr.Abeer-Public Finance2(Part1) - Quiz2

From studying Production subsidy, suppose a commodity is produced in a competitive market, and its marginal cost is increasing, the government decides to give the producer a unit subsidy. If the elasticity of supply curve is less than the elasticity of demand curve, So ...

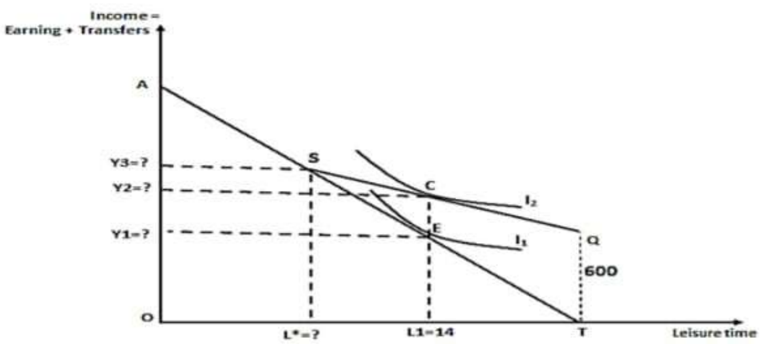
A o Subsidy has a larger effect on the new equilibrium quantity.

B o The more elastic supply curve, the greater the producer's gain from a subsidy.

C o When demand is perfectly elastic, the consumer gains all the benefit from the subsidy.

D o All is correct

and the grant is reduced by 20% for each additional dollar earned. Use the previous information and the following Graph in answering the following:**



The level of earnings which wouldn't receive any unemployment grant =....

- A 2000 $
- B 2500 $
- C 3000 $
- D 5000 $

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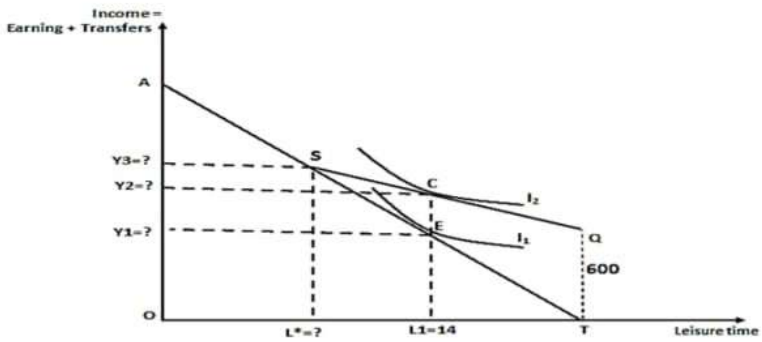
a basic amount (G) equal 600$ per month and the grant is reduced by 20% for each additional dollar earned. Use the previous information and the following Graph in answering the following**:**



At L1, Y2 =....

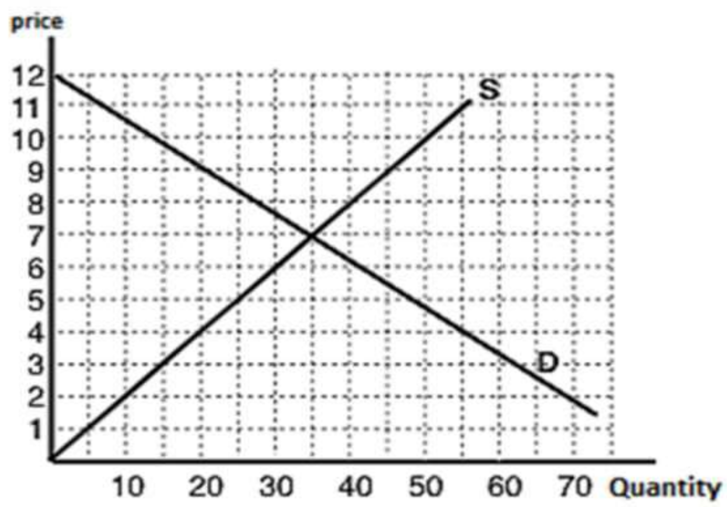
A 600 $

B 2000 $

C 2200 $

D 2600 $

below. If subsidy is introduced to producer= 1 LE per unit



after subsidy, the price that producers receive :

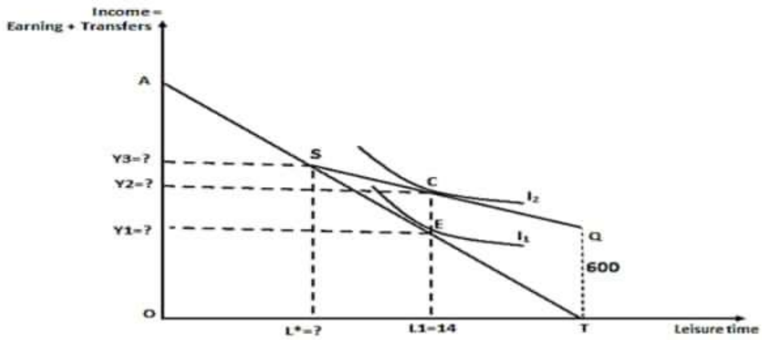
A 6

B 7

C 8

D 9

a basic amount (G) equal 600$ per month and the grant is reduced by 20% for each additional dollar earned. Use the previous information and the following Graph in answering the following**:**



At L1=14, Y1 = ...

A 1800 $

B 2000 $

C 2200 $

D 2800 $